

PABRAI INVESTMENT FUNDS

1220 Roosevelt, Suite 200
Irvine, CA 92620-3675
USA

Tel. +1949.453.0609
mp@pabraifunds.com
www.pabraifunds.com

To: All Limited Partners and Investors of the Pabrai Investment Funds
From: Mohnish Pabrai, Managing Partner
Date: April 15, 2021
Re: **Q1 2021 Results etc.**

Dear Partners:

For the quarter ended March 31, 2021, a total of \$22.6 million was added to the various funds by new and existing investors. The additions on a per fund basis are:

PIF2: \$6.1 million

PIF3: \$8.0 million

PIF4: \$8.5 million

The funds are currently open to new and existing Pabrai investors to add funds. The next opening is July 1, 2021.

PIF2 is the oldest fund and has been closed to new investors for many years. SEC rules limit PIF2 to a total of 100 partners and the fund currently has 97 limited partners. There are three open slots that are likely to all be taken on July 1. PIF2 is open to US-based investors who are qualified clients. The minimum investment to join PIF2 as a new partner is \$4 million. Please let us know ASAP if you have an interest in becoming a PIF2 limited partner.

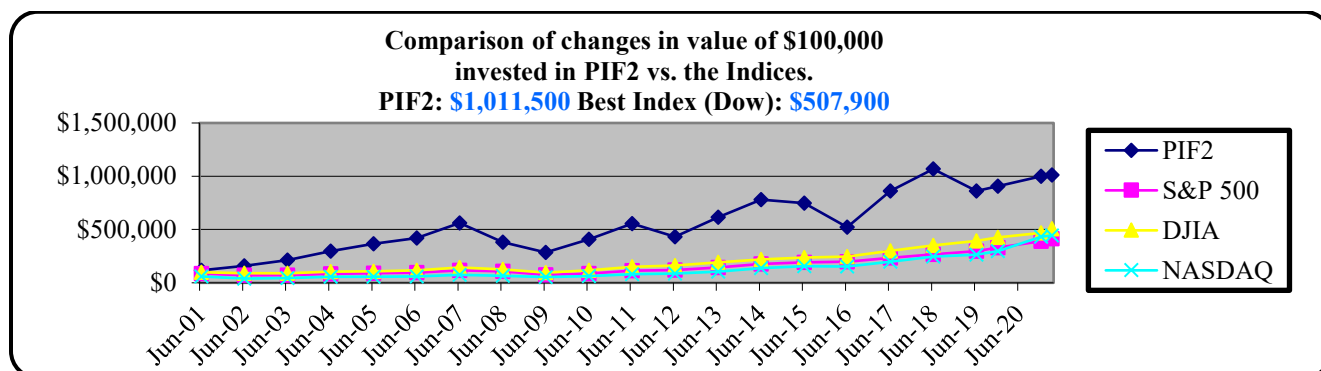
PIF3 is our offshore fund for non-US accredited offshore investors, and U.S. IRAs, foundations, and endowments. The minimum investment to join PIF3 as a new partner is \$3.5 million. PIF4 is for qualified US-based investors. The minimum investment to join PIF4 as a new partner is \$5 million.

For current investors in any of the funds, the minimum addition to their current investment is \$25,000. For IRA investors the minimum is \$5,000. Here are the deposit slips for [PIF2](#), [PIF3](#) and [PIF4](#). If you are interested in or would like more information about the July 1, 2021 opening, please contact me at mp@pabraifunds.com or Valerie Magursky at vm@pabraifunds.com.

The updated performance numbers on all the funds are:

THE PABRAI INVESTMENT FUND II, LP (US Accredited Investors) Performance Summary:

	DJIA	NASDAQ	S&P 500	PIF2 (net to investors)
10/1/00-6/30/01	-0.2%	-41.0%	-14.0%	+17.4%
7/1/01-6/30/02	-10.3%	-32.7%	-18.0%	+35.3%
7/1/02-6/30/03	-0.5%	+11.4%	+0.3%	+34.2%
7/1/03-6/30/04	+18.6%	+26.8%	+19.1%	+38.7%
7/1/04-6/30/05	+0.7%	+1.1%	+6.3%	+23.4%
7/1/05-6/30/06	+11.1%	+6.5%	+8.6%	+15.0%
7/1/06-6/30/07	+23.0%	+20.7%	+20.6%	+34.0%
7/1/07-6/30/08	-13.3%	-11.2%	-13.1%	-32.4%
7/1/08-6/30/09	-23.0%	-19.1%	-26.2%	-25.2%
7/1/09-6/30/10	+18.9%	+16.0%	+14.4%	+43.6%
7/1/10-6/30/11	+30.4%	+32.9%	+30.7%	+35.8%
7/1/11-6/30/12	+5.2%	+5.4%	+3.9%	-21.8%
7/1/12-6/30/13	+18.9%	+17.8%	+20.6%	+42.2%
7/1/13-6/30/14	+15.5%	+31.2%	+24.6%	+26.7%
7/1/14-6/30/15	+7.2%	+14.6%	+7.4%	-4.5%
7/1/15-6/30/16	+4.5%	-1.6%	+4.0%	-30.0%
7/1/16-6/30/17	+22.1%	+28.4%	+17.9%	+64.9%
7/1/17-6/30/18	+16.3%	+23.6%	+14.4%	+23.9%
7/1/18-6/30/19	+12.2%	+7.8%	+10.4%	-19.2%
7/1/19-6/30/20	-0.5%	+27.0%	+7.5%	-10.6%
7/1/20-3/31/21	+29.8%	+32.5%	+29.7%	+31.1%
1/1/21-3/31/21	+8.3%	+3.0%	+6.2%	+1.1%
Annualized	+8.2%	+7.5%	+7.2%	+11.9%
Cumulative	+407.9%	+344.6%	+313.0%	+911.5%

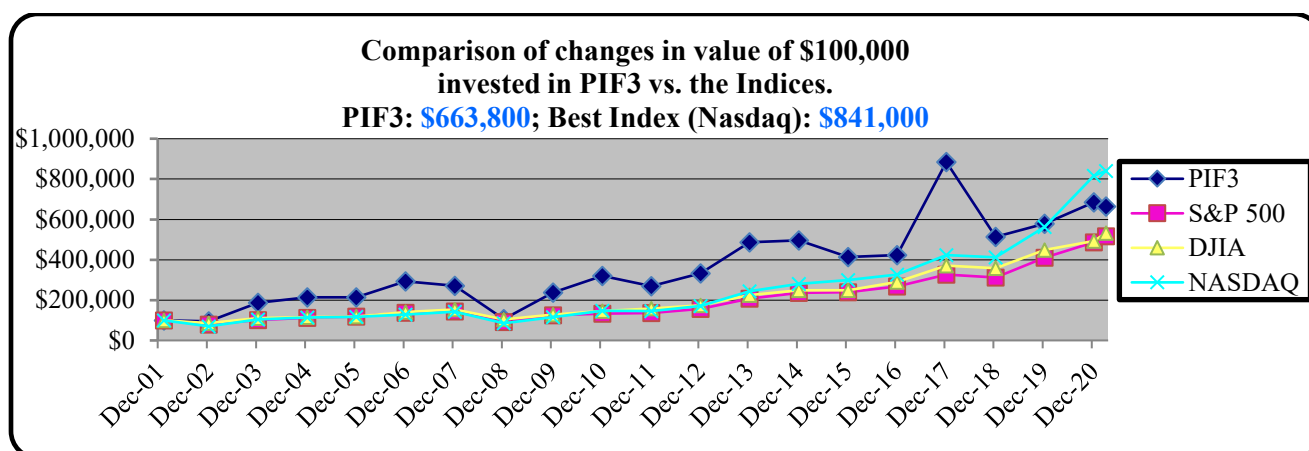


PIF2 Investors:

A \$100,000 investment in PIFI at inception on July 1, 1999 and rolled over into PIF2 on 12/31/02 (\$197,900) was worth \$1,417,200 as of March 31, 2021 (net to investors). This equates to an annualized return of 13.0% since inception – after all management fees and expenses. The best index over the same period was the Nasdaq and an investment of \$100,000 in the Nasdaq on July 1, 1999 was worth \$609,500 on March 31, 2021 – an annualized gain of 8.7%. The Nasdaq gains include reinvested dividends. In the graph above, the start date for PIF2 is shown as June 2000 for readability. The correct start date is October 2000.

PABRAI INVESTMENT FUND 3, LTD (Offshore/IRA Investors) Performance Summary:

	DJIA	NASDAQ	S&P 500	PIF3 (net to investors)
2/1/02-12/31/02	-14.1%	-29.9%	-20.4%	-5.2%
1/1/03-12/31/03	+28.3%	+50.8%	+28.7%	+96.5%
1/1/04-12/31/04	+5.3%	+9.2%	+10.9%	+14.7%
1/1/05-12/31/05	+1.7%	+2.1%	+4.9%	-0.2%
1/1/06-12/31/06	+19.0%	+10.4%	+15.8%	+37.8%
1/1/07-12/31/07	+8.9%	+10.7%	+5.5%	-7.8%
1/1/08-12/31/08	-31.9%	-39.9%	-37.0%	-60.9%
1/1/09-12/31/09	+22.7%	+45.4%	+26.5%	+125.0%
1/1/10-12/31/10	+14.1%	+18.2%	+15.1%	+34.4%
1/1/11-12/31/11	+8.4%	-0.8%	+2.1%	-15.7%
1/1/12-12/31/12	+10.2%	+17.7%	+16.0%	+23.4%
1/1/13-12/31/13	+29.6%	+40.2%	+32.4%	+46.6%
1/1/14-12/31/14	+10.0%	+14.8%	+13.7%	+1.9%
1/1/15-12/31/15	+0.2%	+7.1%	+1.4%	-16.7%
1/1/16-12/31/16	+16.5%	+8.9%	+11.9%	+2.3%
1/1/17-12/31/17	+28.1%	+29.7%	+21.8%	+109.2%
1/1/18-12/31/18	-3.5%	-2.8%	-4.4%	-41.9%
1/1/19-12/31/19	+25.3%	+36.7%	+31.5%	+12.5%
1/1/20-12/31/20	+9.7%	+45.1%	+18.4%	+18.4%
1/1/21-03/31/21	+8.3%	+3.0%	+6.2%	-3.1%
Annualized	+9.1%	+11.7%	+8.9%	+10.4%
Cumulative	+433.1%	+741.0%	+416.0%	+563.8%

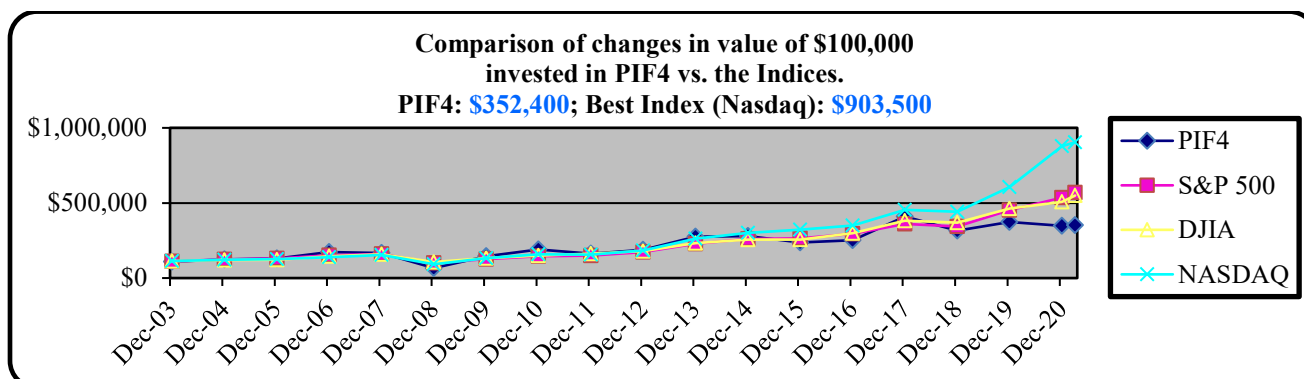


PIF3 Investors:

A \$100,000 investment in PIF3 at inception on February 1, 2002 was worth \$663,800 as of March 31, 2021 (net to investors). This equates to an annualized return of 10.4% since inception. The best index over the same period was the Nasdaq and an investment of \$100,000 in the Nasdaq on February 1, 2002 was worth \$841,000 on March 31, 2021 – an annualized gain of 11.7%. The Nasdaq gains include reinvested dividends. In the graph above, the start date for PIF3 is shown as December 31, 2001 for readability. The correct start date is Feb. 1, 2002.

THE PABRAI INVESTMENT FUND IV, LP (US Qualified Investors) Performance Summary:

	DJIA	NASDAQ	S&P 500	PIF4 (net to investors)
10/1/03-12/31/03	+13.4%	+12.3%	+12.2%	+8.4%
1/1/04-12/31/04	+5.3%	+9.2%	+10.9%	+14.4%
1/1/05-12/31/05	+1.7%	+2.1%	+4.9%	+4.9%
1/1/06-12/31/06	+19.0%	+10.4%	+15.8%	+32.4%
1/1/07-12/31/07	+8.9%	+10.7%	+5.5%	-3.4%
1/1/08-12/31/08	-31.9%	-39.9%	-37.0%	-60.0%
1/1/09-12/31/09	+22.7%	+45.4%	+26.5%	+118.8%
1/1/10-12/31/10	+14.1%	+18.2%	+15.1%	+30.7%
1/1/11-12/31/11	+8.4%	-0.8%	+2.1%	-14.8%
1/1/12-12/31/12	+10.2%	+17.7%	+16.0%	+16.1%
1/1/13-12/31/13	+29.6%	+40.2%	+32.4%	+46.0%
1/1/14-12/31/14	+10.0%	+14.8%	+13.7%	+1.8%
1/1/15-12/31/15	+0.2%	+7.1%	+1.4%	-15.4%
1/1/16-12/31/16	+16.5%	+8.9%	+11.9%	+6.3%
1/1/17-12/31/17	+28.1%	+29.7%	+21.8%	+62.4%
1/1/18-12/31/18	-3.5%	-2.8%	-4.4%	-22.8%
1/1/19-12/31/19	+25.3%	+36.7%	+31.5%	+18.0%
1/1/20-12/31/20	+9.7%	+45.1%	+18.4%	-6.7%
1/1/21-03/31/21	+8.3%	+3.0%	+6.2%	+1.2%
Annualized	+10.2%	+13.4%	+10.4%	+7.5%
Cumulative	+449.3%	+803.5%	+469.1%	+252.4%



PIF4 Investors:

A \$100,000 investment in PIF4 at inception on October 1, 2003 was worth \$352,400 as of March 31, 2021 (net to investors). This equates to an annualized gain of 7.5% since inception. The best index over the same period was the Nasdaq and an investment of \$100,000 in the Nasdaq on October 1, 2003 was worth \$903,500 on March 31, 2021 – an annualized gain of 13.4%. The Nasdaq gains include reinvested dividends. In the graph above, the start date for PIF4 is shown as Dec 31, 2003 for readability. The correct start date is Oct. 1, 2003.

General Comments

The three funds were flat for the quarter (ranging from +1% to -3%). Markets have been quite volatile lately. PIF4 was up over 13% YTD in mid-March versus 1% at month end. We are playing the long game and these movements are irrelevant. The good news is that compelling investing ideas at Pabrai Funds continue to outstrip our available cash. The \$22.6 million that came in on April 1 helped make a dent and increased the intrinsic value of all three funds by multiples of the cash that came in.

At present prices we could put another \$30 million of new funds to work effectively. It looks like we'll likely get good inflows on 7/1, which is wonderful.

A lot of the returns the three funds have generated have come in a few concentrated years. For example, PIF3 was up 96%, 125% and 109% in 2003, 2009 and 2017, respectively. All funds are trading at a very significant discount to underlying intrinsic value. Even with a few mistakes of commission, I expect our results to be strong in the years ahead.

Lessons from The Upanishads

The Upanishads are ancient Hindu scriptures, but they are mostly philosophy rather than religion. The Brihadaranyaka Upanishad is among the oldest of the 108 Upanishad books and was penned more than 2700 years ago. It has this wonderful verse:

*As is your desire, so is your will;
As is your will, so is your deed;
As is your deed, so is your destiny.*

Your deepest desire is your destiny.

For over two decades, I fixated on 50-cent dollar bills. And I found plenty of them. If I had fixated on 20-cent dollar bills, I would have found them too. The key is the singular intensity of the pursuit. My deepest desires have changed. I am no longer interested in 50-cent dollar bills. I am intensely focused on 10-100 baggers that we can own for decades. Set it and forget it. The portfolio already had a few compounders in the mix and since mid-2020 the portfolio is being gradually pivoted to multi-bagger compounders. I already love the mix. It will only get better.

The lens through which I look at businesses has changed. Compounder and multi-baggers are in focus. 50-cent dollar bills are out of focus. It should be an exciting and rewarding journey for all of us in the decades ahead. One of the nice side effects of the shift in focus from 50-cent dollar bills to compounders is that we have become meaningfully more tax efficient. It tastes great and is less filling!

Alignment of Interests

My immediate family has a stake of 175,859 units of PIF2 and 433,197 units of PIF4. The administrative team at Pabrai Funds and I own 54,157 units of PIF4 and 14,754 units of PIF3 in various retirement

accounts. In addition, The Dakshana Foundation owns 77,006 units of PIF3. The aggregate stake of the Pabrai family, the Pabrai Funds team and The Dakshana Foundation in Pabrai Funds is worth approximately \$41 million.

Pabrai Funds charges no management fee, just performance fees – which are $\frac{1}{4}$ of the returns over 6% annualized (subject to high-water marks). I only get paid when you make money. When you win, I win. I am very bullish on the long-term future of Pabrai Funds – as demonstrated by my being the second largest investor in the funds. No fees were earned in Q1 2021.

I have an approximately \$8.2 million investment in Dhandho Holdings. Additionally, The Dakshana Foundation has an approximately \$0.5 million investment in Dhandho Holdings. Besides this, I have no other meaningful interests in any other mutual funds, hedge funds or private equity funds. Our interests are completely aligned.

Online Portal for Investment Statements

All of you should have received an email from Liccar Fund Services with instructions to set up your own online portal to access your investor statements moving forward. Your 3/31/21 investor statement has been uploaded to the portal.

If you have not yet set your investor portal password, please contact Valerie Magursky at vm@pabraifunds.com for assistance.

Annual Report – Will be out in Q2 2021

Our modus operandi now is to provide expansive commentary in the annual reports and the annual meetings. The quarterly letter will continue to provide updated performance numbers and announcements, but minimal commentary. The annual report is slated to be published in Q2 2021.

Final K-1's (for US Investors)

For PIF2 and PIF4 investors, your final K-1s were uploaded to the portal mid March. If you (or your accountant) need assistance downloading the K-1, please nudge Valerie Magursky at vm@pabraifunds.com.

Annual Redemption Date Only for Retirement Account RMDs

Last year the Coronavirus Aid, Relief and Economic Security (CARES) Act temporarily waived 2020 required minimum distributions (RMDs) from tax-deferred 401(k)s and individual retirement accounts (IRAs). In addition, the RMD age threshold was permanently increased from 70.5 to 72.

There is no longer an RMD waiver for 2021. As a result, everyone age 72 and older as of December 31, 2021 must take their RMD by year end to avoid the 50% penalty. If this is their first RMD then they have until April 1, 2022.

We have an annual redemption date on September 30th only for retirement accounts invested in the PIFs in which the beneficial owner is 72 years or older. The purpose of this is to allow folks who are 72 years or older and who are invested in the PIFs with retirement assets to meet their annual RMDs. These investors can also still redeem whatever they wish on 12/31 with 60 days' advance notice.

We recommend that these folks make their first redemption request with the next 5 years in mind and redeem 20% of their balance. They can then keep those retirement funds in cash or a low-cost index fund with daily liquidity (e.g., an S&P 500 index fund with their broker/custodian) and tap that annually for RMDs as needed. Then, each year, they can redeem an additional 3.5% - 7% to make sure that they have sufficient funds for RMDs at all times.

We need to receive the redemption request with 60 days' advance notice (i.e., by August 1st). Please nudge Valerie Magursky at vm@pabraifunds.com if this is of interest and she will provide you with a redemption request form.

Chai With Pabrai Blog

Please check out my blog www.ChaiWithPabrai.com which I try to keep updated. With zero travel due to Covid, I have reduced my decline rate on speaking to students. I try to do 1-2 Zoom sessions with students every month. This is about the max. of what I am interested in doing. Here are some recent additions to the blog:

Q&A Session with MBA Students at Georgetown University – March 4, 2021

I very much enjoyed my Q&A session with MBA Students at Georgetown University. I discussed my journey that led to my starting Pabrai Funds, importance of holding on to compounders, and the art of selling.

<http://www.chaiwithpabrai.com/blog/qa-session-with-mba-students-at-georgetown-university-march-4-2021>

Q&A with members of The Babson College Fund (Babson College Students)– Feb 9, 2021

My Q&A session with the members of The Babson College Fund (Babson College Students) covered the importance of temperament control in investing and finding long-term compounders.

<http://www.chaiwithpabrai.com/blog/qa-with-members-of-the-babson-college-fund-babson-college-students-feb-9-2021>

Q&A Session with Students at Clemson University - Jan 27, 2021

During my discussion with the Members of Wall Street South Investment Club at the Wilbur O. And Ann Powers College of Business (Clemson University), we talked about the advantages and disadvantages of auction-driven stock market investing, and my learnings in 2020.

<http://www.chaiwithpabrai.com/blog/qa-session-with-students-at-clemson-university-jan-27-2021>

Q&A with students of Peking Univ. (Guanghua School of Mgmt.)–Dec. 3, 2020

I gave a lecture on “Compounding with the Spawners” to the students of Peking University's Guanghua School of Management. We talked about Spawners and how to identify one. The presentation included a rich Q&A session on a diverse set of topics.

<http://www.chaiwithpabrai.com/blog/qa-with-students-of-peking-univ-guanghua-school-of-mgmt-dec-3-2020>

Suggestion Box

We are always interested in hearing how we can better serve you. Please feel free to email me any suggestions/feedback you may have at mp@pabraifunds.com.

2021 Annual Meeting – Tentative Date

The **Virtual** meeting is tentatively scheduled to be held via video conference on **Saturday, September 18th, 2021** at 12:00 PM Pacific Time. Confirmed guests will receive instructions via email on how to attend the virtual meeting.

Agenda for the virtual meeting:

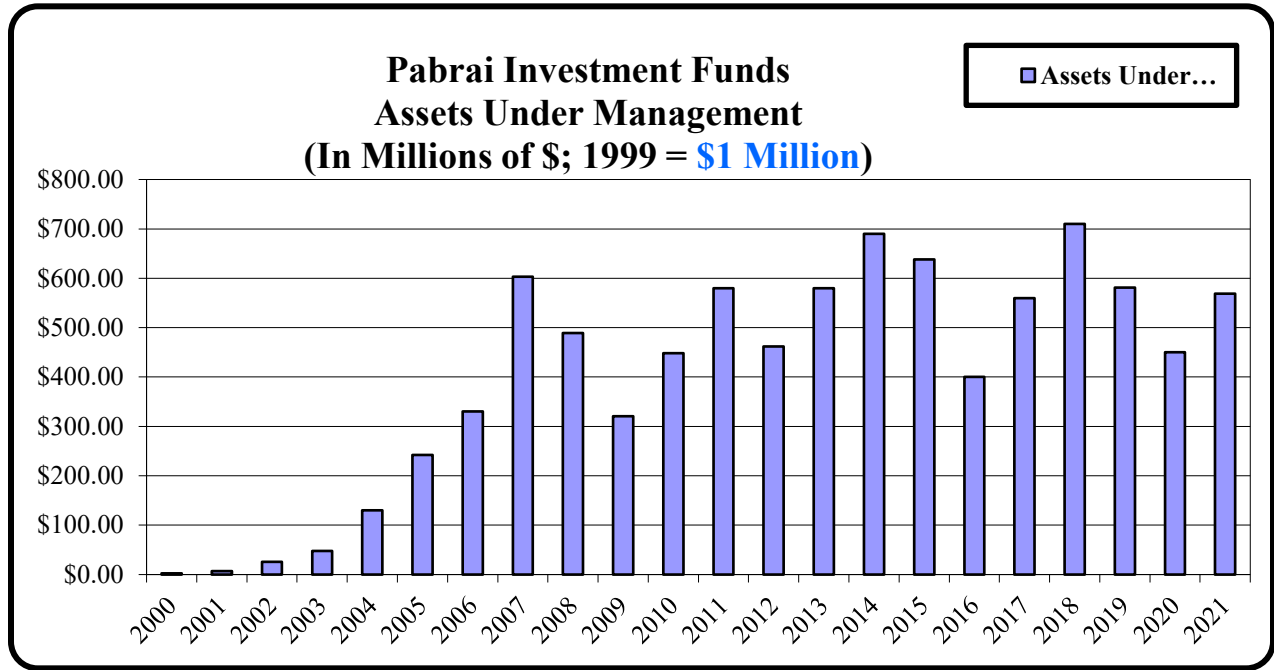
12:00 – 2:00 PM Pacific Time: Presentation and Q&A

The invites will go out electronically via email in July 2021. Look for it in your inbox! If you don't receive it, please contact invite@pabraifunds.com. Your significant other and young kids are welcome to attend. As we are now a Registered Investment Advisor, the SEC requires that all guests must be “accredited investors,” which includes your adult kids (22 years or older). The invitation is non-transferable.

Stay healthy and safe. I look forward to seeing you in September.

Assets Under Management

There is \$569 million in assets under management between all the funds as of April 1, 2021.



Thanks for your continued interest, referrals and support. And thank you for entrusting me with your precious assets. They are in good hands. Feel free to call me at +1949.453.0609 or email me at mp@pabraifunds.com with any queries or comments.

Warm regards,

Mohnish Pabrai

Note: The assets under management in the above graph are as of June 30 for all annual periods. Various indices are included throughout this letter for reference. Reference to an index or benchmark does not imply that the strategy will achieve returns, experience volatility, or have other results similar to the index. As an example, the Funds may invest in foreign securities or fixed income instruments; however the indices presented only include U.S. securities. These indices are purely a basket of stocks, and the Funds may invest in securities other than stocks such as bonds, warrants and preferred stocks. The Funds typically hold fewer than 10 positions as compared to 500 in the S&P, 30 in the DJIA, and thousands in the NASDAQ. Therefore, the Funds are significantly more concentrated than the benchmark indices and may experience notably higher volatility and return characteristics from these indices.

Appendix

PIF2's Performance History (Net to Investors)

No. of Units	Date	PIF2 NAV
110,000	10/01/2000	\$10.00
330,014	06/30/2001	\$11.74
1,027,795	06/30/2002	\$15.89
1,950,982	06/30/2003	\$21.32
2,445,212	06/30/2004	\$29.58
2,696,687	06/30/2005	\$36.52
2,646,687	06/30/2006	\$41.99
3,013,111	06/30/2007	\$56.25
2,934,990	06/30/2008	\$38.01
2,468,091	06/30/2009	\$28.45
2,409,165	06/30/2010	\$40.84
2,257,421	06/30/2011	\$55.46
2,180,892	06/30/2012	\$43.36
2,057,676	06/30/2013	\$61.68
1,906,927	06/30/2014	\$78.13
1,795,006	06/30/2015	\$74.64
1,684,602	06/30/2016	\$52.26
1,774,805	06/30/2017	\$86.17
1,959,084	06/30/2018	\$106.77
1,896,122	06/30/2019	\$86.30
1,830,037	06/30/2020	\$77.13
1,832,258	09/30/2020	\$78.80
1,773,298	12/31/2020	\$100.00
1,833,800	03/31/2021	\$101.15

PIF3's Performance History (Net to Investors)

No. of Units	Date	PIF3 NAV
65,100	02/01/2002	\$10.00
265,919	12/31/2002	\$9.48
485,041	12/31/2003	\$18.63
1,774,753	12/31/2004	\$21.37
2,478,793	12/31/2005	\$21.32
2,930,608	12/31/2006	\$29.37
6,438,615	12/31/2007	\$27.09
5,415,189	12/31/2008	\$10.57
5,038,658	12/31/2009	\$23.79
4,885,267	12/31/2010	\$31.95
4,701,613	12/31/2011	\$26.92
4,318,818	12/31/2012	\$33.21
4,384,591	12/31/2013	\$48.70
4,290,222	12/31/2014	\$49.61
3,805,336	12/31/2015	\$41.33
2,433,652	12/31/2016	\$42.27
2,409,693	12/31/2017	\$88.45
2,473,097	12/31/2018	\$51.42
2,376,897	12/31/2019	\$57.85
2,326,717	12/31/2020	\$68.52
2,447,468	03/31/2021	\$66.38

PIF4's Performance History (Net to Investors)

No. of Units	Date	PIF4 NAV
595,030	10/01/2003	\$10.00
1,219,330	12/31/2003	\$10.84
5,627,712	12/31/2004	\$12.40
9,314,803	12/31/2005	\$13.01
11,528,331	12/31/2006	\$17.23
16,899,746	12/31/2007	\$16.64
15,737,042	12/31/2008	\$ 6.66
15,725,066	12/31/2009	\$14.57
15,251,129	12/31/2010	\$19.05
14,493,713	12/31/2011	\$16.24
12,398,564	12/31/2012	\$18.85
11,560,683	12/31/2013	\$27.53
10,642,015	12/31/2014	\$28.03
9,531,764	12/31/2015	\$23.71
8,792,042	12/31/2016	\$25.21
8,040,030	12/31/2017	\$40.96
7,809,565	12/31/2018	\$31.64
6,628,989	12/31/2019	\$37.33
6,034,088	12/31/2020	\$34.82
6,273,790	03/31/2021	\$35.24

Past performance is not indicative of future results. Returns are presented net of all fees and expenses, include the reinvestment of income and are calculated using a simple rate of return. The securities discussed do not represent all securities recommended for the Funds. It is also not a recommendation to buy or sell and one should not presume they will be profitable.

Please be aware that our past newsletters may discuss specific securities that have performed well without necessarily addressing those that have underperformed within our Fund(s). Readers should not infer that all investment decisions within the Funds were profitable.